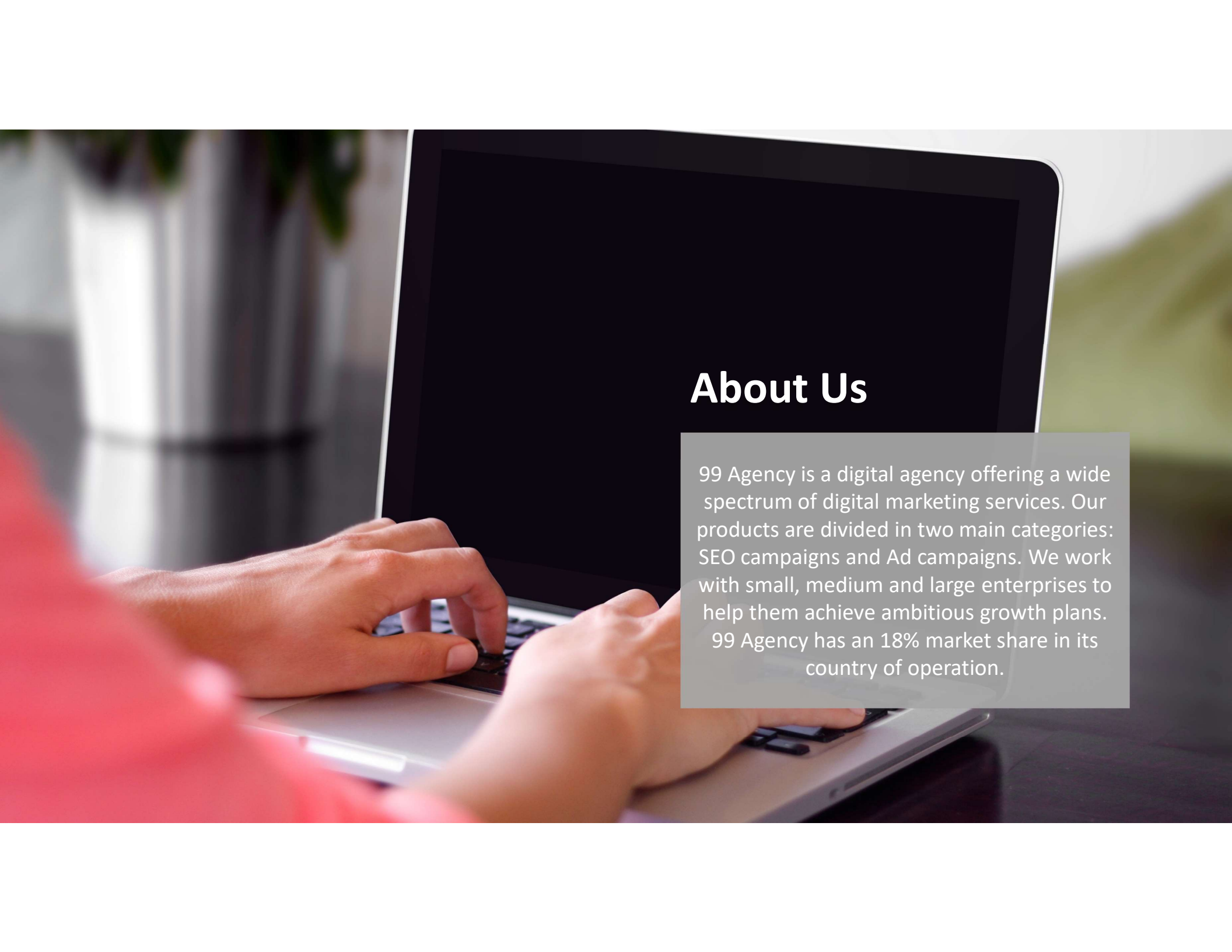


99 Agency

Course Challenge



A close-up photograph of a person's hands typing on a laptop keyboard. The laptop screen is dark and out of focus. The background is blurred, showing what appears to be an indoor setting with a plant and some furniture. The overall tone is professional and modern.

About Us

99 Agency is a digital agency offering a wide spectrum of digital marketing services. Our products are divided in two main categories: SEO campaigns and Ad campaigns. We work with small, medium and large enterprises to help them achieve ambitious growth plans.

99 Agency has an 18% market share in its country of operation.

A photograph of a wooden desk with a silver laptop, a white cup of coffee, and a person's hands typing on a keyboard. A semi-transparent world map is overlaid on the laptop screen, with a location pin in Europe. A semi-transparent grey box on the right contains text about 'Country of Operations'.

Country of Operations

Country of Operations:	ABC
Population:	60 million
% of Internet users	64%
Average Revenue per user:	540\$
Agency Fees Commissions:	3.5%

Based on that information HQ of 99 Sales sets top-down revenue targets for the company.

The Revenue Budget

Number of campaigns

Number of Ad campaigns	FY 2021	Var% Y-o-Y	Feedback
Client A	1,657	-3.4%	0.0%
Client B	1,006	3.8%	4.0%
Client C	1,027	298.2%	30.0%
Other	1,208	0.5%	1.0%
Total number of Ad campaigns	4,898	18.2%	

Number of SEO campaigns	FY 2021	Var% Y-o-Y	Feedback
Client A	1,695	14.5%	20.0%
Client B	1,336	9.4%	10.0%
Client C	2,638	112.7%	30.0%
Other	858	-47.0%	-30.0%
Total number of SEO campaigns	6,528	17.4%	

Average revenue per campaign

Average revenue per Ad campaign	FY 2021	Var% Y-o-Y	Feedback
Client A	14.7	8.5%	10.0%
Client B	18.9	7.3%	6.0%
Client C	11.4	-43.8%	-30.0%
Other	15.1	1.2%	2.0%
Average revenue Ad campaigns	15.0	-2.2%	

Average revenue per SEO campaign	FY 2021	Var% Y-o-Y	Feedback
Client A	5.1	-3.1%	-2.0%
Client B	5.4	0.3%	0.0%
Client C	2.3	-22.2%	-15.0%
Other	7.4	20.4%	25.0%
Average revenue SEO campaigns	4.4	-13.8%	

After a careful consideration and analysis of the existing customers of the company and based on actual results and expectations for the upcoming year, the sales team of the company has provided some relevant feedback regarding the projected growth of the company's top customers. Their input is shown in the column "Feedback" and represents the expected year-on-year growth of the revenue from these customers for FY2022. Based on that information the team builds the bottom-up plan of the company's revenue.

Cost of SEO and Ad Campaigns

SEO Optimization is performed by the firm's SEO specialists, who dedicate a certain amount of time to each campaign. These employees are employed on a full-time basis. In addition, 99 Agency uses the services of an overseas outsourcing firm. The firm plans to employ 21 people in 2022 and to pay them an average salary of \$64,000. The additional cost for outsourcing is \$2,100 per SEO campaign.

99 Agency provides complete solutions to its clients. It runs ad campaigns, chooses the best channels for these campaigns, negotiates prices with major social media channels and search engine operators, and tracks the results of these campaigns. The number of people running ads in FY22 will continue to be 15, with an average cost of \$42,800 per employee. In addition, 99 Agency pays advertisers an average of \$7,700 per ad campaign.

SEO Optimization



Ad Campaigns



Other Key Assumptions

- 99 Agency operates in a single country (ABC)
- All SEO and ad campaigns are completed within the same quarter when they are ordered
- The Budgeting Committee agrees upon an average between Bottom-Up and Top-Down revenue targets
- Fixed costs of SG&A remain unchanged
- The ratio of Variable costs of SG&A to revenue remains constant
- Planned CAPEX for the budgeted period by quarters is respectively 70K, 82K, 70K, 95K USD
- D&A as a % of Beginning value of Fixed Assets remains unchanged
- The firm's Financial Liabilities are reduced to \$4.25m in FY22 and it continues to pay the same interest rate